ConformEdge Revenue Analysis — Updated v2.0 Pricing

Date: 26 March 2026 **All prices in ZAR, excluding 15% VAT unless stated**

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1. Revenue Streams Overview

Stream	Type	Frequency
Direct subscriptions	Recurring	Monthly/Annual
Additional user seats	Recurring	Monthly
AI credit packs	One-time	On demand
Implementation fees	One-time	At onboarding
Partner platform fees (seat-based)	Recurring	Monthly
Partner per-client fees	Recurring	Monthly
Partner setup fees	One-time	At onboarding
Referral commissions (outflow)	Recurring	12 months

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2. Direct Subscription Revenue

Base Pricing (Monthly)

Tier	Monthly	Annual (17% off)	Users Included	Extra User
Essentials	R2,299	R1,908/mo (R22,900/yr)	3	+R399/user
Professional	R5,499	R4,566/mo (R54,790/yr)	5	+R449/user
Business	R8,499	R7,058/mo (R84,690/yr)	10	+R349/user
Enterprise	From R16,999	Negotiable	25	+R299/user

Revenue Per Client (with typical seat overages)

Tier	Base	Avg Extra Users	Seat Revenue	Total/mo
Essentials	R2,299	1	R399	**R2,698**
Professional	R5,499	3	R1,347	**R6,846**
Business	R8,499	5	R1,745	**R10,244**
Enterprise	R16,999	10	R2,990	**R19,989**

Implementation Fees (One-Time)

Tier	Fee	Scope
Essentials	R0	Self-serve
Professional	R7,499	Light onboarding, 1 training session
Business	R24,499	Full migration, custom templates, 2 training sessions
Enterprise	R49,499+	Multi-site, legacy migration, on-site training

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3. Partner Revenue

Referral Partners (Commission Outflow)

Referred Tier	Monthly Sub	Annual Commission (10%)	CE Net Revenue/yr
Essentials	R2,299	R2,759 (outflow)	R24,829
Professional	R5,499	R6,599 (outflow)	R59,389
Business	R8,499	R10,199 (outflow)	R91,789

Commission accrues monthly over 12 months. After Year 1, CE retains 100%.

Consulting/White-Label Partners

Once-Off Setup: R25,000

Recurring Monthly:

Component	Rate
Consultant seats (min 5)	R999/seat/mo
Per client — Essentials	R1,499/mo
Per client — Professional	R1,999/mo
Per client — Business	R2,999/mo
Extra client users (above 3/org)	R99/user/mo

Partner Revenue Scenarios (Professional Clients)

Partner Size	Seats	Clients	Seat Rev	Client Rev	CE Total/mo	CE Total/yr
Small	5	5	R4,995	R9,995	**R14,990**	**R179,880**
Medium	5	10	R4,995	R19,990	**R24,985**	**R299,820**
Growing	7	15	R6,993	R29,985	**R36,978**	**R443,736**
Established	8	20	R7,992	R39,980	**R47,972**	**R575,664**
Large	10	30	R9,990	R59,970	**R69,960**	**R839,520**

Plus R25,000 setup fee per partner.

CE Revenue: Partner vs Direct (Professional Tier)

Clients	Via Partner	Direct Equivalent	CE Share
5	R14,990/mo	R27,495/mo	55%
10	R24,985/mo	R54,990/mo	45%
25	R54,970/mo	R137,475/mo	40%

Trade-off rationale: Partners acquire and manage clients that CE likely wouldn't reach directly. 40-55% of revenue we wouldn't otherwise have is better than 0%.

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4. AI Credit Pack Revenue

Pack	Credits	Price	Per-Credit
Starter	100	R25	R0.25
Growth	500	R99	R0.20
Business	1,000	R179	R0.18
Enterprise	5,000	R749	R0.15

CE cost per classification: ~R0.007 (Claude Haiku at ~1K tokens) **Gross margin:** 95-97% on credit packs

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5. Scenario-Based MRR/ARR Projections

Scenario A: Year 1 — First 6 Months (Conservative)

Segment	Count	Avg MRR Each	Total MRR
Direct Essentials	3	R2,299	R6,897
Direct Professional	2	R5,499	R10,998
Direct Business (AE SHEQ)	1	R8,499	R8,499
Consulting Partner	1 (5 clients)	R14,990	R14,990
Referral Partners	2 (3 referrals)	—	R0 (commission outflow only)
AI Credit Packs	—	—	R500
Total MRR			**R41,884**
ARR Run Rate			**R502,608**

One-time revenue: R25,000 (partner setup) + R24,499 (Business implementation) = **R49,499**

Scenario B: Year 1 — Month 12 (Moderate Growth)

Segment	Count	Avg MRR Each	Total MRR
Direct Essentials	8	R2,698 (with overages)	R21,584
Direct Professional	5	R6,846	R34,230
Direct Business	3	R10,244	R30,732
Enterprise	1	R19,989	R19,989
Consulting Partners	2 (avg 8 clients each)	R20,987	R41,974
Referral commissions (outflow)	5 active	-R2,500	-R2,500
AI Credit Packs	—	—	R2,000
Total MRR			**R148,009**
ARR Run Rate			**R1,776,108**

One-time: R25K × 2 partners + R7.5K × 5 Pro + R24.5K × 3 Bus + R49.5K × 1 Ent = **R211,000**

Scenario C: Year 2 — Month 24 (Growth Target)

Segment	Count	Avg MRR Each	Total MRR
Direct Essentials	15	R2,698	R40,470
Direct Professional	12	R6,846	R82,152
Direct Business	6	R10,244	R61,464
Enterprise	2	R19,989	R39,978
Consulting Partners	4 (avg 12 clients)	R28,983	R115,932
White-Label Partners	1 (15 clients)	R34,980	R34,980
Referral commissions (outflow)	8 active	-R4,000	-R4,000
AI Credit Packs	—	—	R5,000
Total MRR			**R375,976**
ARR Run Rate			**R4,511,712**

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6. Revenue Mix by Segment

Year 1 Month 12 (Scenario B)

Segment	MRR	% of Revenue
Direct subscriptions	R106,535	72%
Partner platform + client fees	R41,974	28%

AI credits	R2,000	1%
Referral outflow	-R2,500	-2%

Year 2 Month 24 (Scenario C)

Segment	MRR	% of Revenue
Direct subscriptions	R224,064	60%
Partner revenue	R150,912	40%
AI credits	R5,000	1%
Referral outflow	-R4,000	-1%

Key insight: Partner revenue grows from 28% to 40% of MRR as the channel matures. This is healthy — partners scale client acquisition faster than direct sales.

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7. Unit Economics

Direct Client

Metric	Essentials	Professional	Business
Monthly revenue	R2,299	R5,499	R8,499
Hosting cost/org (estimated)	~R50	~R50	~R50
AI cost/org (estimated)	~R5	~R15	~R35
Gross margin	**~97%**	**~99%**	**~99%**

Partner Client (Professional via Consulting Partner)

Metric	Value
CE receives per client	R1,999/mo
Hosting cost/org	~R50
AI cost/org	~R15
Gross margin	**~97%**

Software margins are excellent across all segments. The "discount" to partners is a customer acquisition cost, not a margin erosion.

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8. Break-Even Analysis

Fixed Costs (Estimated Monthly)

Cost	Amount

Hetzner VPS	R800
Clerk (auth)	R0 (free tier up to 10K MAU)
Cloudflare R2 (storage)	R0 (10GB free)
Resend (email)	R0 (3K/mo free)
Domain/SSL	R50
Developer time (opportunity cost)	R30,000
Total fixed costs	**~R30,850/mo**

Break-Even Point

- At Essentials pricing: **14 clients** (R2,299 × 14 = R32,186)
- At Professional pricing: **6 clients** (R5,499 × 6 = R32,994)
- At mixed (1 Business + 2 Professional): **3 clients** (R8,499 + R10,998 = R19,497) — nearly covers fixed costs alone

Current client (AE SHEQ on Business): R8,499/mo covers 28% of fixed costs. 3 more Professional clients reaches break-even.

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9. Annual Discount Impact

17% annual discount (pay 10 months for 12):

Tier	Monthly	Annual Monthly Equiv	Revenue Lost/yr	Revenue Gained (commitment)
Essentials	R2,299	R1,916	R4,598	12-month lock-in
Professional	R5,499	R4,583	R10,998	12-month lock-in
Business	R8,499	R7,083	R16,998	12-month lock-in

Recommendation: Annual discounts are worth it for cash flow predictability and reduced churn. The 17% discount is standard in the industry.

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10. Key Risks & Mitigations

Risk	Impact	Mitigation
Partner margin inversion at scale	Partner earns more than CE at 25+ Pro clients	Flat pricing stabilizes CE share at ~40% — acceptable for channel revenue
Referral commission pre-payment	Commission accrued before CE collects full year	Fixed: now accrues monthly per payment received
EFT collection delays	Cash flow gap between service and payment	Auto-invoicing 3 days before period end + 7-day grace + auto-suspension

Low initial client volume	Revenue doesn't cover fixed costs	Fixed costs are <R31K/mo — break-even at 6 Professional clients
Churn before Year 1 for referred clients	Commission paid but client leaves	Commission stops accruing when client churns (monthly accrual model)

Generated from code-level pricing in `src/lib/billing/plans.ts` and `src/lib/constants.ts` as of 26 March 2026.